



CIE Level 1

Getting Started with Entrepreneurship

Topic: Marketing for Startups

Sathya Prasad

Centre for Innovation and Entrepreneurship (CIE)

CIE Level 1

Getting Started with Entrepreneurship

Pre-Session Activities

Sathya Prasad
CIE

CIE Level 1

Getting Started with Entrepreneurship

Marketing for Startups

Sathya Prasad
CIE

**WHAT IS THE *MARKET TYPE* OF YOUR
STARTUP OPPORTUNITY?**

CIE Level 1 - Getting Started with Entrepreneurship

Types of Market



- Type of Market changes *EVERYTHING*
- Sales, Marketing and Business development differs radically by market type

Market

- Market Size
- Cost of Entry
- Launch Type
- Competitive Barriers
- Positioning

Sales

- Sales Model
- Margins
- Sales Cycle

Customers

- Needs
- Adoption

Finance

- Ongoing Capital
- Time to Profitability

CIE Level 1 - Getting Started with Entrepreneurship

Types of Markets



Existing Market

**Resegmented
Market**

New Market

Clone Market

CIE Level 1 - Getting Started with Entrepreneurship

4 Types of Markets

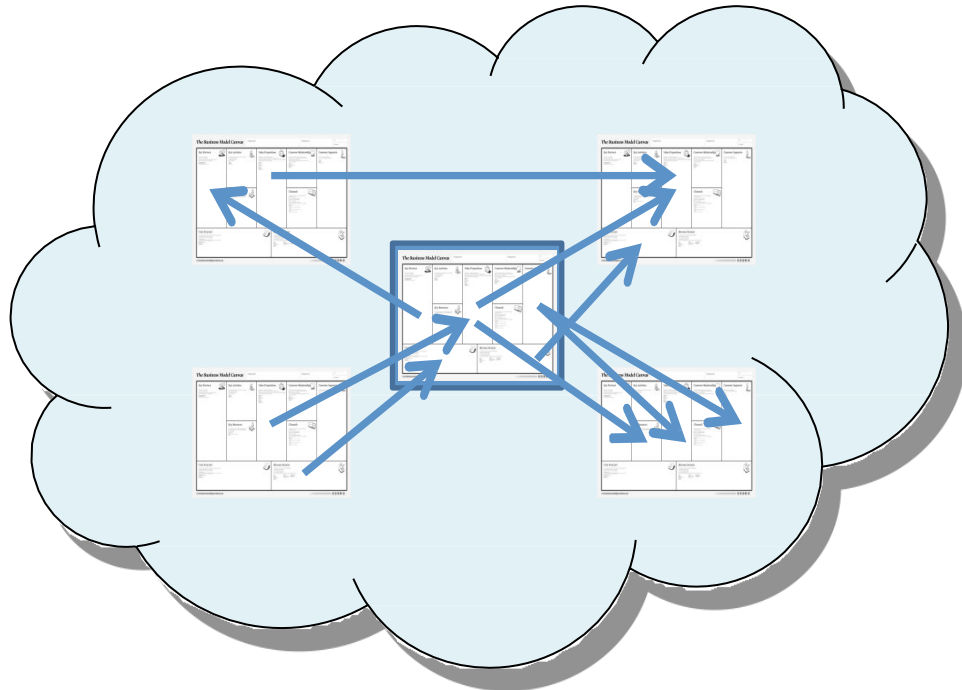


- **Existing Market**
 - Maybe existing product (new features) or a new product
 - E.g. New sedan car, say Toyota Etios
- **Resegmented Market**
 - Redraw market segments to better address customer needs
 - E.g. Sports Utility Vehicle (SUV), when it was 1st introduced
- **New Market**
 - Cheaper/good enough; can create a new class of customer/product
 - Innovative/never existed before (e.g. Electric/Autonomous cars, etc)
- **Clone Market**
 - Modify/adopt existing market for a different country/geography (e.g. Ola)

CIE Level 1 - Getting Started with Entrepreneurship

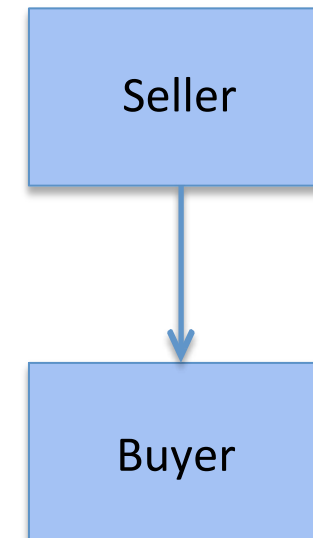
Market

- Logical/Physical place where Buyers/Sellers *interact*
- Buyers/Sellers -> Consumer/Producer



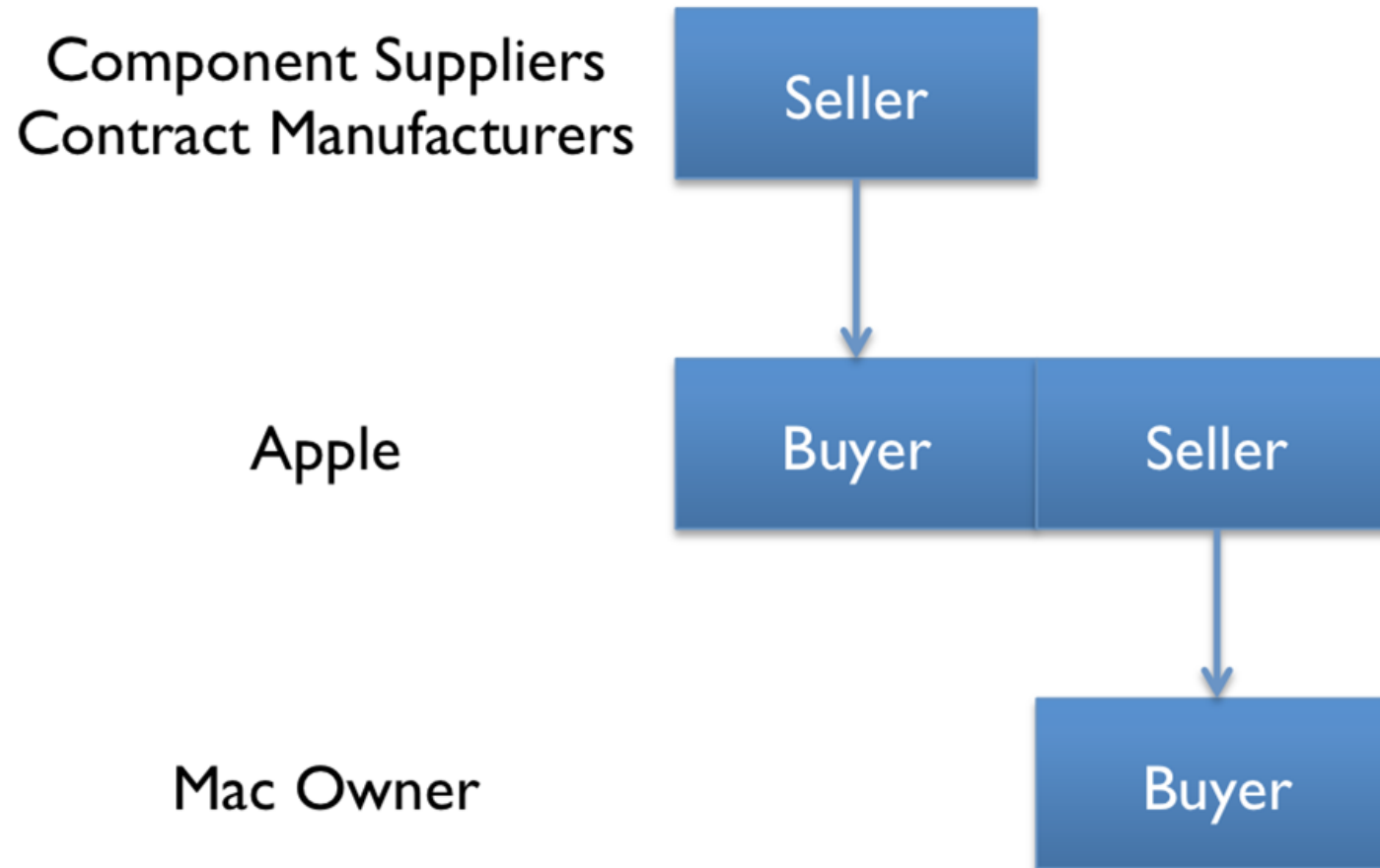
Value Proposition delivered to customer/market

There are at least two roles in a market:



CIE Level 1 - Getting Started with Entrepreneurship

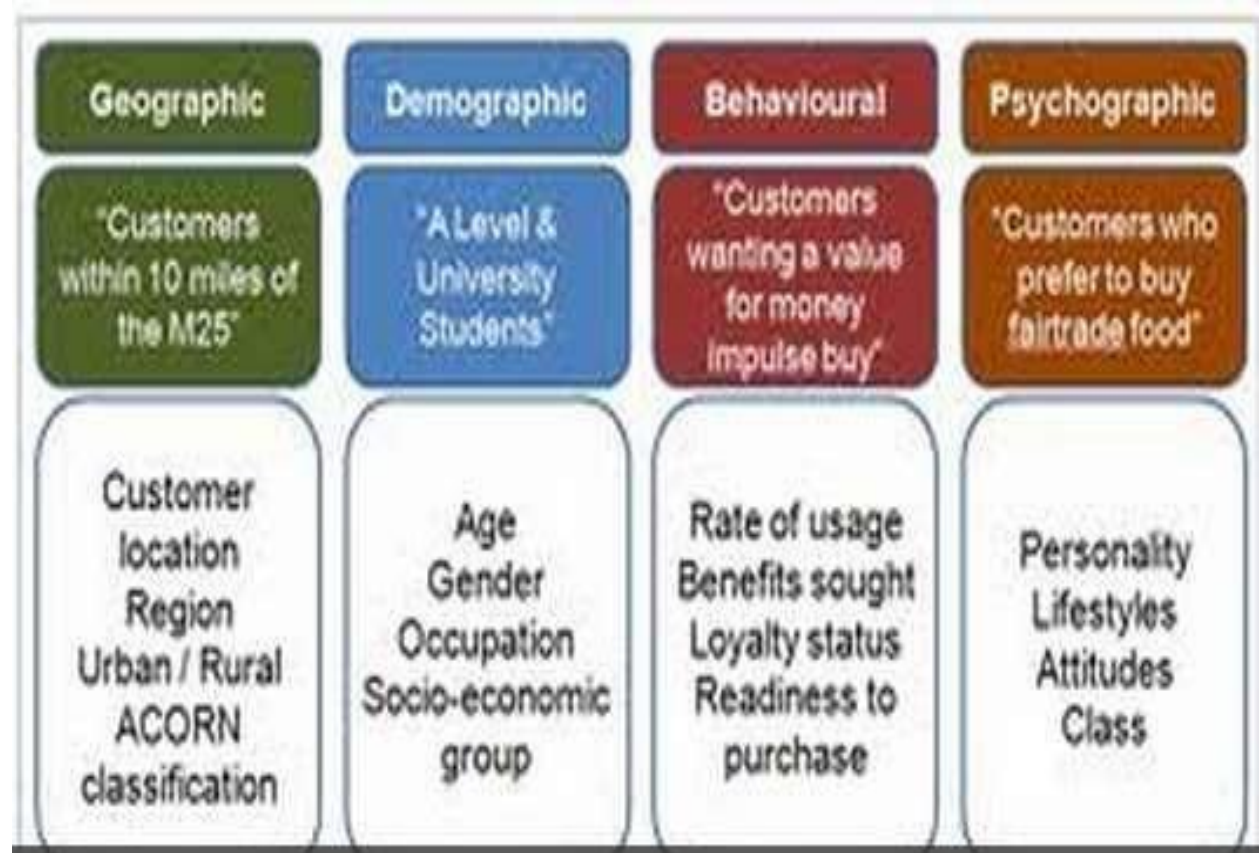
Simple Value Chain



CIE Level 1 - Getting Started with Entrepreneurship

Market Segments

- Consumer v. Business
 - Car driver v. Taxi Operator
- Geographic
 - India v. Global
- Type of Industries
 - Food, Retail, Manufacturing, etc
- Demographics
 - Teenagers v. Adults



CIE Level 1 - Getting Started with Entrepreneurship

Market Segments

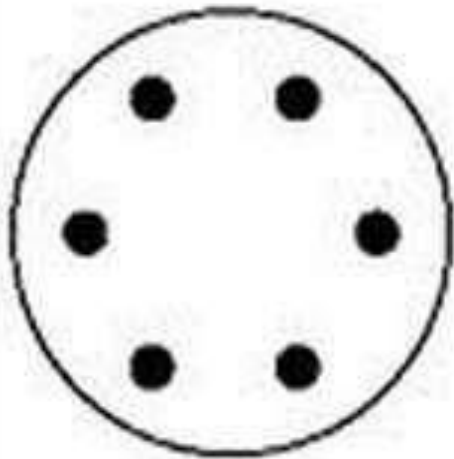


Fig. 1 Total market before segmentation, i.e., no segmentation.

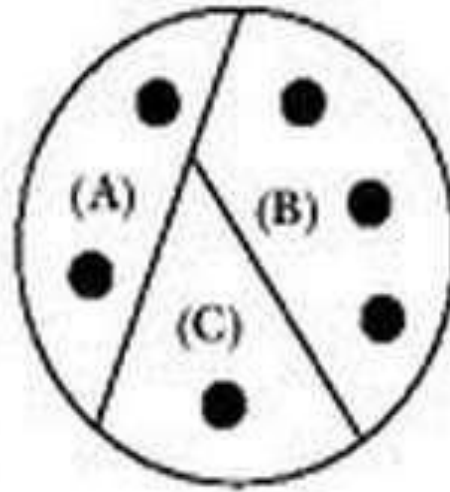


Fig. 2 Same market is now segmented into three distinct groups of customers, i.e., partial segmentation.

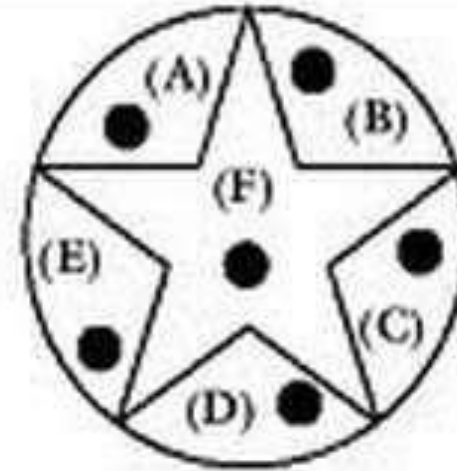


Fig. 3 Completely segmented market i.e. Market of six different buyers after segmentation, i.e., full segmentation.

CIE Level 1 - Getting Started with Entrepreneurship

Market Size



- For all the effort and risk taken by a startup, makes sense to chase a **big** 'market' opportunity
- **Big** (Large) **Size** AND (High) **Growth**
- Market sizing: not all *science* but some *art as well* 😊
- **Market size** (& type) crucial for startups

CIE Level 1 - Getting Started with Entrepreneurship

Market Size



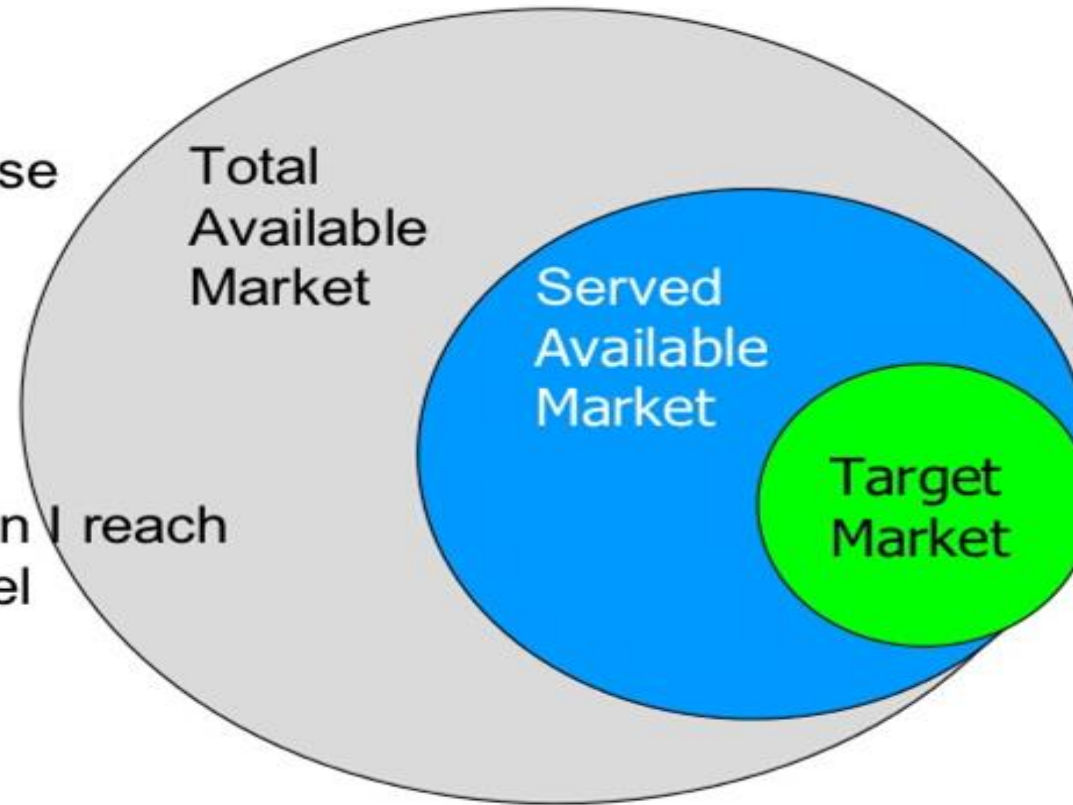
- Quantifies the financial potential of your business.
- Helps refine *Business Model Canvas* hypotheses:
 - Very small market size may not be worth pursuing.
 - May be difficult to gain traction in a very big market.
- Two measurements:
 - **Money** (Rs/\$/etc)
 - **Units**
 - People or Consumption (e.g., room-nights, kilowatt hours, etc.)

CIE Level 1 - Getting Started with Entrepreneurship

TAM, SAM, Target Market

TAM = how big is the universe

SAM = how many can I reach
with my sales channel



Target Market (for a startup) =
who will be the most likely buyers

CIE Level 1 - Getting Started with Entrepreneurship

Total Addressable Market - TAM



- Quantifies entire chain of buyer/seller relationships in your market
- Usually very broad
- Easiest to estimate
- Examples:
 - Mobile healthcare apps
 - Renewable Energy
 - Health & fitness

CIE Level 1 - Getting Started with Entrepreneurship

Served Addressable Market - SAM



- A value proposition rarely applies to an entire TAM.
- Opportunity to sharpen your focus on a particular part of the market
- Examples:
 - Mobile healthcare apps for seniors
 - Renewable energy storage
 - Health & fitness at work

CIE Level 1 - Getting Started with Entrepreneurship

Target Market



- One more level of refinement
- Often a demographic target
- Examples:
 - Mobile healthcare apps for elders/seniors, targeting retirement homes
 - Renewable energy storage targeting Mfg & Auto industries
 - Health/fitness at work, employees aged 25-40, in \$500M+ rev companies

CIE Level 1 - Getting Started with Entrepreneurship

Practical Tips



- Find an industry/market study that fits your biz model
- If not: build a market model
- Important to differentiate:
 - Facts, Assumptions, Extrapolation
- Run multiple scenarios
- Time frames: Now or 3-5 years

CIE Level 1 - Getting Started with Entrepreneurship

Example - GroupRes



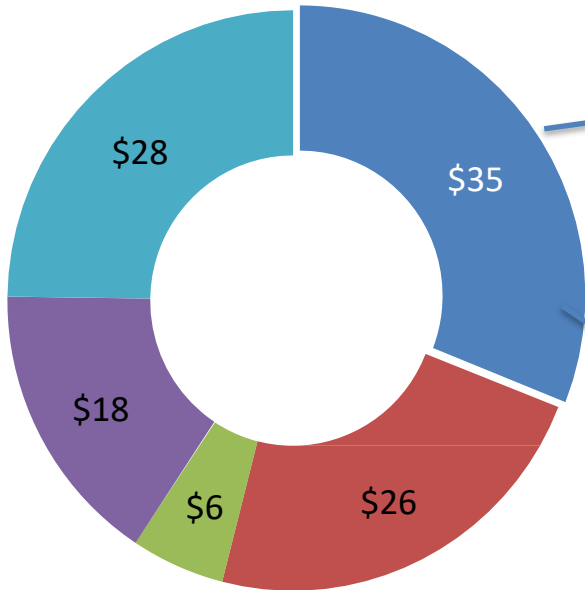
- The internet revolution changed the travel industry forever. **But it didn't change the whole travel industry.**
- Travel industry's meetings & events segment is hampered by **inefficient business processes** and **ineffective pricing models** that do not leverage modern technology, especially for hotel accommodations.
- **GroupRes** is Software as a Service (SaaS) that makes it easy for event guests to reserve a hotel room, while **increasing profit for event planners and hotels.**



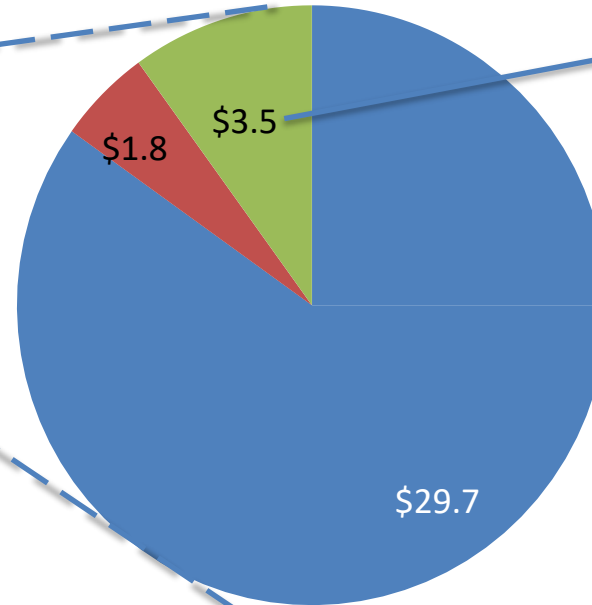
CIE Level 1 - Getting Started with Entrepreneurship

Example - GroupRes

Total Addressable Market (TAM) of Accommodations (\$35B) is 31% of Travel & Expenses (\$113B)



Served Addressable Market (SAM) "Commissions and Tech fees" \$5.3B (3.5+1.8) or 15% of Accommodations



Target Market: \$3.5B (commissions)

CIE Level 1 - Getting Started with Entrepreneurship

Example - GroupRes



	Year 1	Year 2	Year 3	Year 4	Year 5
Market					
>Meeting Growth Rate		0%	0%	0%	0%
Meetings	1,800,000	1,800,000	1,800,000	1,800,000	1,800,000
Room Nights/Meeting	139	139	139	139	139
Room Nights	250,000,000	250,000,000	250,000,000	250,000,000	250,000,000
Room Nights/Reservation	2.5	2.5	2.5	2.5	2.5
Reservations	100,000,000	100,000,000	100,000,000	100,000,000	100,000,000
>Avg Price per Room Growth Rate		2%	2%	2%	2%
Average Price per Room	140	143	146	149	152
Room Revenue	35,000,000,000	35,700,000,000	36,414,000,000	37,142,280,000	37,885,125,600

CIE Level 1

Getting Started with Entrepreneurship

Post Session Brief

Sathya Prasad
CIE

CIE Level 1 - Getting Started with Entrepreneurship

Activity (Team) - TAM, SAM, TM



Identify the TAM, SAM and TM of your startup opportunity

CIE Level 1 - Getting Started with Entrepreneurship

Activity (Team) - Update BMC



Update your BMC and post on Team Wall.



THANK YOU

Sathya Prasad

Director, CIE

Sathya.prasad@pes.edu

+91 80 2672 1983 Extn 761 [CIE Office: Extn: 851]